

TABLE 7.4 Average Five-Year Cumulative Return of “High Growth” Value Portfolios and Contrarian Value Portfolios (1963 to 1990)

	High Growth Value Average Five-Year Cumulative Return (%)	Contrarian Value Average Five-Year Cumulative Return (%)	Difference (Contrarian Value—High Growth Value) (%)
Price-to-Book Value and Sales Growth	117.1	161.8	44.7
Price-to-Cash Flow and Sales Growth	116.3	171.1	54.8
Price-to-Earnings and Sales Growth	136.5	171.6	35.1

TABLE 7.5 Five-Year Average Growth of Contrarian Value and “High Growth” Value Portfolios (1963 to 1990)

Pre-Selection Characteristics of Price-to-Earnings and Sales Growth Portfolios		
	High-Growth Value	Contrarian Value
Growth in Earnings (%)	16.9	9.7
Growth in Cash Flow (%)	16.3	7.4
Growth in Sales (%)	13.9	2.5
Growth in Operating Earnings (%)	16.0	5.9

Pre-Selection Characteristics of Price-to-Book Value and Sales Growth Portfolios

	High-Growth Value	Contrarian Value
Growth in Earnings (%)	6.8	−6.7
Growth in Cash Flow (%)	4.0	1.3
Growth in Sales (%)	60.3	10.7
Growth in Operating Earnings (%)	0.4	0.2

Pre-Selection Characteristics of Price-to-Cash Flow and Sales Growth Portfolios

	High-Growth Value	Contrarian Value
Growth in Earnings (%)	14.3	8.2
Growth in Cash Flow (%)	14.0	4.7
Growth in Sales (%)	10.6	1.3
Growth in Operating Earnings (%)	11.8	−6.7